

Practice Quiz: Organizational Systems — Module 08:

Planning

Name: ____ Date: ____

Part A: Multiple Choice

1. Strategic planning in Active Inference is best described as: A) Predicting the future accurately B) Policy selection — evaluating action sequences based on expected free energy C) Writing a 5-year business plan D) Budgeting for next year
2. **Temporal depth** refers to: A) How old the company is B) How far into the future the organization's generative model makes meaningful predictions C) The depth of the management hierarchy D) How long meetings last
3. Shell's scenario planning approach exemplifies: A) Predicting a single future with high confidence B) Evaluating strategies against multiple generative models (scenarios) to find robust policies C) Ignoring uncertainty D) Following industry consensus forecasts
4. **Resilience** in organizational terms means: A) Never changing strategy B) The capacity to absorb surprise and maintain identity/functioning under perturbation C) Having large cash reserves D) Avoiding all risk
5. The **commitment-adaptability paradox** arises because: A) Managers can't agree B) Deep commitment to particular capabilities limits the organization's ability to pivot, but adaptability without commitment prevents building deep capabilities C) Resources are always limited D) Plans always fail
6. **Expected free energy** for organizational planning combines: A) Expected revenue and expected cost B) Pragmatic value (goal achievement across scenarios) and epistemic value (uncertainty reduction) C) Stock price and earnings D) Past performance and future expectations

7. An **antifragile** organization: A) Avoids all shocks B) Stays exactly the same during crises C) Actually improves from perturbation, using shocks to strengthen its generative model D) Has the strongest physical infrastructure
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Part B: Short Analysis

1. Your company operates in an industry with a 2-year product cycle, but leadership insists on a 5-year strategic plan. Justify (or challenge) this approach using the temporal depth concept. If the 5-year horizon is inappropriate, propose an alternative planning framework and explain why it better matches the industry dynamics.
2. Construct three scenarios for the future of your industry (continuation, disruption, transformation). For each scenario, identify the key driving forces and evaluate your organization's current strategy. Which scenario would cause the most "strategic surprise" (highest prediction error)? What trigger signals would indicate that this scenario is materializing?
3. Your CEO asks: "How resilient is our organization?" Design a resilience assessment covering absorptive capacity (can we withstand a shock?), adaptive capacity (can we modify our approach?), and transformative capacity (can we fundamentally reinvent ourselves?). For each, specify concrete measurement criteria and a scoring rubric.